NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
(Video Conference)

PRESENT: JUSTICE TELAPROLU RAJANI – MEMBER JUDICIAL
ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 01.09.2022 AT 10.30 AM

TC/CP. Nos.	CA/IA No.	Section/ Rule	Name of Parties
CP(CAA)No.8/230/AMR/2022		230	Sahuwala Hugh Pressure Cylinders Private Limited (First Transferor Company) Sahuwala Auto Gorge and Engineering Pvt. Ltd. (Second Transferor Company) Pan Fuel Tech Private Limited (Thir Transferor Company) Sahuwala Cylinders Private Limited (Transferee Company)

Counsel for Petitioner(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

Counsel for Respondent(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

ORDER

CP(CAA)No.8/230/AMR/2022 is allowed, vide separate orders.

SD/-
JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH AT MANGALAGIRI

CP (CAA) No.8/230/AMR/2022
Connected with
CA (CAA) No.2/230/AMR/2021

In the matter of Section 230 to 232 of the Companies Act, 2013
AND
In the matter of Scheme of Amalgamation of **M/s.SAHUWALA HIGH PRESSURE CYLINDERS PRIVATE LIMITED**, the Transferor Company-1 (having its registered office at Andhra Pradesh), **M/s.SAHUWALA AUTO FORGE AND ENGINEERING PRIVATE LIMITED**, the Transferor Company-2 (having its registered office in Andhra Pradesh) & **M/s.PAN FUEL TECH PRIVATE LIMITED**, the Transferor Company -3(having its registered office in Andhra Pradesh) by M/s. **SAHUWALA CYLINDERS PRIVATE LIMITED** (Transferee Company (having its registered office in Andhra Pradesh)

In the matter of

1. **M/s. Sahuwala High Pressure Cylinders Private Limited,**
   Having registered office at Survey No.42,
   G Block, 5th Cross, Behind Apparel Park,
   Autonagar, Visakhapatnam – 530012
   ... Petitioner No.1/Transferor Company-1

2. **M/s.Sahuwala Auto Forge And Engineering Private Limited,**
   Having Registered office at D.No.47-10-28,
   Dwaraka Nagar, Visakhapatnam - 530016
   … Petitioner No.2/Transferor Company -2

3. **M/s.Pan Fuel Tech Private Limited,**
   Registered Office at D1 & D2,
   B-Block, Autonagar, Visakhapatnam – 530012
   … Petitioner No.3/Transferor Company -3

Sd/-

AND

M/s. Sahuwala Cylinders Private Limited,
Registered Office D-242, Autonagar,
Visakhapatnam – 530012

.... Petitioner No.4/Transferee Company

Date of pronouncement of order: 01.09.2022

CORAM

Justice Telaprolu Rajani, Member Judicial

Appearance:

For the Petitioners: Mr. Kumar Puligadda, Advocate

Per: Justice Telaprolu Rajani, Member (Judicial)

ORDER

1. The present Company Petition is filed by M/s. Sahuwala High Pressure Cylinders Private Limited, Petitioner No.1/Transferor Company-1, M/s.Sahuwala Auto Forge And Engineering Private Limited, Petitioner No.2/Transferor Company-2, M/s.Pan Fuel Tech Private Limited, Petitioner No.3/Transferor Company -3 and M/s. Sahuwala Cylinders Private Limited, Petitioner No.4/Transferee Company under Sections 230 & 232 of the Companies Act, 2013 seeking to permit the Transferor Companies for Scheme of Amalgamation (the Scheme for short) with the Transferee Company. All the Transferor Companies registered offices are situated at

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Andhra Pradesh and Transferee Company registered office is situated at Andhra Pradesh.

2. Briefly the facts are as follows:

i. The Authorised Share Capital of the Petitioner No.1/Transferor Company-1 as on 31.03.2021 is Rs.16,00,00,000/- divided into 1,60,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid up share capital is Rs.15,75,63,200/- divided into 1,57,56,320 equity shares of Rs.10/- each. The main objects of the Transferor Company-1 are to carry on the business of manufacture, assemble, convert, commercialize, design, develop, display, establish, handle, let on hire, install, supplier, refiller, distributor and to deal with all types of cylinder and other allied activities, etc.

ii. The Authorised Share Capital of the Petitioner No.2/Transferor Company-2 as on 31.03.2021 is Rs.40,00,000/- divided into 4,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid up share capital is Rs.40,00,000/- divided into 4,00,000 equity shares of Rs.10/- each. The main objects of the Transferor Company -2 are in the manufacturers, processors, fabricators, distributors, buyers, traders, importers, exporters, suppliers, all kinds of components for industrial user, automobiles, LPG

Sd/-

conversion kits, multivalve, other equipment connected with gas, petroleum products, etc.

iii. The Authorised Share Capital of the Petitioner No.3/Transferor Company-3 as on 31.03.2021 is Rs.40,00,000/- divided into 4,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid up share capital is Rs.32,00,000/- divided into 3,20,000 equity shares of Rs.10/- each. The main objects of the Transferor Company-3 are to manufacture, produce, deal in all types of LPG tanks, distribution and trading LPG tanks, conversion kits, multivalves, high security license plates, etc., and other allied activities.

iv. The Authorised Share Capital of the Petitioner No.4/Transferee Company as on 31.03.2021 is Rs.2,00,00,000/- divided into 20,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid up share capital is Rs.2,00,00,000/- divided into 20,00,000 equity shares of Rs.10/- each. The main objects of the Transferee Company are to manufacture cylinders for packing of light petroleum gas, oxygen, nitrogen, carbonic acid, acetylene and various other types of gases and mechanical engineers, iron founders, metal workers, boiler makers, mechanists, iron and steel forgers, etc.

Sd/-

v. The Transferor & Transferee Companies are engaged in similar business. The benefits of the Scheme of Amalgamation are to consolidate the business of the Transferor Companies under the Transferee Company, post completion of acquisition and focused management, attention to respective business in single entity and unlocking the value of businesses.

vi. The Board of Directors of the Petitioner Company approved the scheme at its respective board meetings held on 25.01.2022. The appointment date is 01.04.2021. Consent, by way of Affidavit and No Objection to the Scheme supported by Board, was also obtained from all the Equity Shareholders, Secured Creditors and Un-Secured Creditors of the Petitioner Companies.

vii. The Tribunal, by order dated 22.04.2022, dispensed with the requirement of holding meetings of all Equity Shareholders, Secured Creditors & Unsecured Creditors of the Petitioner Companies. The scheme of amalgamation was approved by the board of directors and others.

3. Heard the Learned Counsel appearing for the Petitioner, RD and OL and perused the records.



4. The Regional Director (RD) filed his report dated 22.08.2022 and raised the following objections and the Petitioner Companies replied to the same as detailed below:

S.No.	RD's Observations	Reply of the Petitioner Companies by way of affidavit dated **24.08.2022**
1	The Directorate has received letter dated 06.07.2022 from the ROC, Andhra Pradesh by pointing out certain observations as under:- a) The Regional Director (RD) sought this Tribunal to direct the Petitioner Company to preserve its books of accounts and papers and records and shall not be disposed of without the prior permission of the Central Government in	Undertaking regarding given by the Petitioner Company: a. To preserve the books of accounts, papers and records of both the Petitioner Companies and not to dispose of them without the prior permission of the Central Government in terms of Section 239 of the Companies Act, 2013. b. To ensure statutory compliance of all applicable laws and also

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	terms of Section 239 of the Companies Act, 2013.	on sanctioning of the present scheme the applicant company shall not be absolved for any of its statutory liabilities in any manner.
	b) The Regional Director (RD) sought this Tribunal to direct the Petitioner Company to ensure statutory compliance of all applicable laws and also on sanctioning of the present scheme the applicant company shall not be absolved for any of its statutory liability in any manner.	c. To file confirmation of the scheme of amalgamation in Form INC-28 with the RoC, AP within the specified time period. d. To file an application with the RoC, AP indicating the revised authorised capital and proof of paying prescribed fees due on revised after setting off the fee already paid by the Transferor Companies and Transferee Company
	c) The Regional Director (RD) sought this Tribunal to direct the Petitioner Companies, involved in the scheme to comply with Rule 17(2) of Companies	

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	(Compromise, Arrangement and Amalgamation) Rules, 2013 with respect to filing of order for confirmation of scheme to be filed in Form No.INC-28 with the concerned office of RoC by the Petitioner Company.	shall comply with the provisions of Section 232 (3) (i) of the Companies Act, 2013 and pay the difference fee, if any after setting off the fee already paid by the Transferor Companies on their respective capital.
	d) The Regional Director (RD) sought this Tribunal to direct the Petitioner Transferee Company to file an application with RoC indicating the revised authorised capital and proof of paying prescribed fees due on revised capital after setting of that fee	

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	already paid by Transferor Companies.	
2	The Regional Director (RD) sought this Tribunal to direct the Petitioner Company to furnish an undertaking that as and when the demand arises from the Income Tax Department, Transferee Company will pay/settles ready to pay the said dues.	

5. The Regional Director (RD), after considering the said reply by the Petitioner, did not raise any further objection. The Official Liquidator (OL) made certain observations and the Petitioner Companies has filed reply to the report of the Official Liquidator (OL) which is as follows;

S.No	Observations of Official Liquidator filed on 18.08.2022	Response of the Petitioners Company filed on 24.08.2022
1	Clause 5 of Part I of the Scheme dealing with "Record Date" leaving it at as undetermined and seeking to vest entire power to fix the record date completely with the	1. In response to the observation the Petitioner Companies given an undertaking (on

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	Board of Directors of Transferee Company alone without the involvement of Transferor Companies. Hence, the Hon'ble Tribunal may be pleased to direct the Transferee Company to submit an undertaking to this Hon'ble Tribunal to the effect that the Record date would be decided and fixed mutually by the Board of Directors of Petitioner Companies immediately after sanction of the scheme and before dissolution of the Transferor Companies on effective date.	affidavit duly notarized) stating that the Record Date as mentioned in Clause 5 of Part-1 of the scheme would be decided and fixed mutually by the Board of Directors of Petitioner Companies immediately after sanction of the Scheme of this Tribunal and before dissolution of Transferor Company on effective date, has been given on behalf of the Transferee Company.
2	Clause 11 of the Scheme, is silent on any specific accounting treatment for the merger of assets and liabilities of Transferor Companies.	
3	Clause 11 (f) it is mentioned that "Notwithstanding the above, the Board of Directors or duly	

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	authorised committee of the Transferee Company is authorized to account any of these balances in any manner whatsoever, as may be deemed fit". The said clause is in violation of AS-14 (Pooling Interest Method).	2. The accounting treatement for the merger of assets & liabilities of transferor companies will be carried in the Books of Transferee Company in terms of the provisions of accounting standard -14 –pooling of interest method and to ensure not deviate from the provisions of Accounting Standard -14 – Pooling of Interest method.
4	Clause 10.1(b) of Part-III of the Scheme provides for clubbing of Authorized Capital. However, as per the said Clause, the authorized capital of the Transferee Company shall automatically stand increased without any further fees/stamp duty payable to the Registrar of Companies. This term in the Scheme is not in line with the provisions of Section 232(3)(i) of the Companies Act, 2013. In this regard, the Transferee Company shall comply with the provisions of the aforementioned section and pay the difference fee, if any, after	

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	setting off the fee already paid by the Transferor Companies on its respective capital.	
5	The Petitioner Companies are closely held having mostly common shareholders.	
6	There are no proceedings pending under the provisions of the Companies Act, 2013 against the Petitioner Companies as per the information provided by them on 24.06.2022.	

6. Finally the Official Liquidator (OL) did not raise any objections against accepting the Scheme of Amalgamation of the Petitioner Companies.

7. Considering the entire facts and circumstances of the case and on perusal of the Scheme, reports of the Regional Director, Official Liquidator, and reply/undertakings of the Petitioner Company thereon and the documents produced on record, the Scheme of Amalgamation appears to be fair and reasonable and is not contrary to public policy and not in violation of any provisions of law. All the statutory

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compliances have been made under Section 230 to 232 of the Companies Act, 2013.

8. The Company Petition is allowed with the following directions:-

a) The Scheme of Amalgamation (Copy of the Scheme enclosed at Page No.318 to 369 of the Petition)is hereby sanctioned and it is declared that the same shall be binding on the Petitioner Companies and their respective Shareholders and Creditors, Employees and all concerned under the Scheme.

b) The Scheme shall become effective from the Appointed Date i.e., 01.04.2021 and shall be made operational from the date of filing of the orders with the Registrar of Companies.

c) While approving the Scheme as above, it is further clarified that this order will not be construed as on order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

d) The Petitioner Companies are directed to preserve their books of accounts and papers and records and not to dispose of without the

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prior permission of the Central Government in terms of provisions of Section 239 of the Companies Act, 2013.

e) All concerned authorities to act on a copy of this order along with the Scheme duly authenticated by the Registrar of this Tribunal. The Registrar of this Tribunal shall issue the certified copy of this order along with the Scheme immediately.

f) The Petitioner Companies are directed to take appropriate steps to submit the said Scheme to Registrar of Companies within 30 days from the date of receipt of copy of this order.

g) The Petitioner Companies are directed to issue newspaper publication with respect to approval of Scheme of Amalgamation, in the same newspaper in which previous publications were issued in order to ensure transparency/dissemination of complete information to all concerned parties about the approval granted by the Tribunal for the Scheme as proposed.

h) The Petitioner Companies are further directed to take all consequential and statutory steps required in pursuance of the approved Scheme of Amalgamation under the provisions of the Act.

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i) The Petitioner Companies are also directed to strictly comply with all the Undertakings given by them including those with regard to payment of due taxes and other statutory dues as mentioned in foregoing paragraphs of this order.

j) The Petitioner Companies are directed to strictly adhere to the above directions and applicable provisions of the Companies Act.

9. Accordingly, the Scheme stands sanctioned and the Company Petition bearing CP (CAA) No.8/230/AMR/2022 stands disposed of.

Sd/-

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

Swamy Naidu